Pali, from which comes Banaras and Benares) has had many other names: Ananda-kanan, Kashi, Sudarshan, Pushpavati, Molini, Jitvari, Avimuktadham, Rudravas, Mahashamshana and more.

Archaeological digs on the Rajghat plateau near the northern end of the city have turned up finds that date from the ninth century BCE (the visible ruins at the tourist complex date from a much later period). Ancient urban Varanasi likely began here. We have no precise historical sources such as inscriptions, but going by stories in the Mahabharata and Buddhist Jataka tales, the kingdom of Kashi existed here in the first half of the first millennium BCE, with Varanasi as the capital. Kashi was one of the sixteen political units in north India called janapadas, where early Aryan culture and Vedic religion took root and led to urbanization. Kashi was then famous for its shipbuilding, ivory, sandalwood and textile crafts. To Kashi's north was Koshala, to its east Magadha. Koshala later conquered Kashi and both were in turn swallowed by Magadha. With such antiquity, it's strange that only a few archaeological excavations have been undertaken in Varanasi.

In the Buddha's time, Varanasi was already a major centre of learning. Its heft as a religious and cultural centre likely drew the Buddha here to make his mark and gain a wider audience. He seems to have avoided Varanasi proper, a stronghold of Brahminism, and stayed in adjoining Sarnath, where he famously delivered his first post-enlightenment sermon to five companions.[9] In due course, a large Buddhist settlement arose here. The excavated site of Sarnath, now in a suburb of Varanasi, has beautifully evocative ruins of ancient stupas and monasteries and a museum with exquisite sculptures, including the famous Lion Capital of Emperor Ashoka, which became the basis for the National Emblem of India in 1950.